Acme Technologies, Inc. - Q4 2024 Financial Report

Quarter and Fiscal Year Ended December 31, 2024

1. EXECUTIVE SUMMARY & FULL-YEAR FISCAL HIGHLIGHTS

Acme Technologies completed a landmark fiscal year 2024, exceeding operational targets across all core segments.

Key Financial Results for Q4 2024:
- Q4 Total Revenue: $48.0 million, an increase of 12.9% sequentially from Q3 2024.
- Full-Year 2024 Revenue: Total annual revenue reached $175.2 million, up 31% year-over-year.
- Q4 Net Income: $9.5 million, an increase from $8.2 million reported in Q3 2024.
- Operating Cash Flow for Q4: $14.1 million.
- Ending Headcount: 520 full-time employees as of December 31, 2024 (net addition of 40 employees during Q4).

2. OPERATING EXPENSES BREAKDOWN FOR Q4

- Research and Development (R&D): $14.3 million in Q4 (bringing total second-half R&D expenditure to $26.4 million across Q3 and Q4).
- Sales and Marketing (S&M): $16.5 million.
- General and Administrative (G&A): $6.8 million.

The company's operating margin expanded to 21.8%, reflecting improved operational leverage.

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Products, Operations, and Customer Success

3. CLOUDSCALE PERFORMANCE AND BUSINESS MOMENTUM

The CloudScale Intelligence Suite continued rapid growth in the fourth quarter:
- CloudScale Ending ARR: Reached $22 million by December 31, 2024 (growth of $7 million compared to Q3 ARR of $15 million).
- Key Drivers: Growth was propelled by accelerated enterprise customer migration, expansion of multi-cloud connectors, and new AI workload optimizations.
- Total Active Enterprise Accounts: Increased to 188 active enterprise accounts.

4. CUSTOMER RETENTION AND MARKET OBSERVATIONS

- Enterprise Retention Rate: Decreased slightly to 91.5% in Q4 2024 (down from 94.0% in Q3 2024), primarily due to corporate consolidations and mergers among early-stage tech customers.
- Enterprise Net Expansion Rate: Remained healthy at 116%.
- Gross Margin for Cloud Services: Expanded to 76.0%.

5. FISCAL POSITION
Total cash reserves and equivalents stood at $77.8 million at year-end. Note: Forward-looking financial guidance for Q1 2025 is deferred until the annual investor conference.